Business Plan for the Operations of IRPC as a Viable Local Economic Enterprise (LEE) under the General Fund

I. Historical Background

The Iloilo Rice Processing Complex in Barangay Amamaros, Pototan, Iloilo, began operations on March 16, 2012, through a ₱196.36 million grant from South Korea. Developed through a bilateral partnership among the Korea International Cooperation Agency (KOICA), the Philippine Department of Agriculture (DA), and the local governments of Iloilo and Pototan, the facility was later turned over to the Pototan Farmers Multi-Purpose Cooperative (PFMPC) for management and operation. Designed to mill up to 50 tons of palay per day and store 1,100 tons, it provides modern drying, milling, storage, and related post-harvest services that improve efficiency, reduce losses, and enhance rice quality. By replacing traditional practices with mechanical drying and automated milling, the complex aims to reduce grain wastage and improve milling recovery, making local rice more competitive in wholesale markets. It also seeks to raise farmers' incomes and lessen reliance on middlemen by offering affordable, cost-based services such as custom milling, mechanical drying, warehousing, and trucking, enabling farming groups to retain more of the value of their harvests.

II. Current Status

Provincial Takeover and Strategic Direction

The Iloilo Provincial Government has assumed control of the facility and intends to lead its operations in alignment with the province's hybrid rice program. The facility will be developed as a sustainable local economic enterprise managed, supervised, and controlled by the provincial government. The transition focuses on four key areas:

- **Governance:** Transfer oversight from the Department of Agriculture to the Provincial Local Government Unit (PLGU).
- **Physical Infrastructure:** Assess, rehabilitate, and expand the facilities.
- **Financial Management:** Shift from cooperative-led procurement to government-backed financing and service optimization.

- **Operational Continuity:** Reorganize personnel to maintain uninterrupted operations.

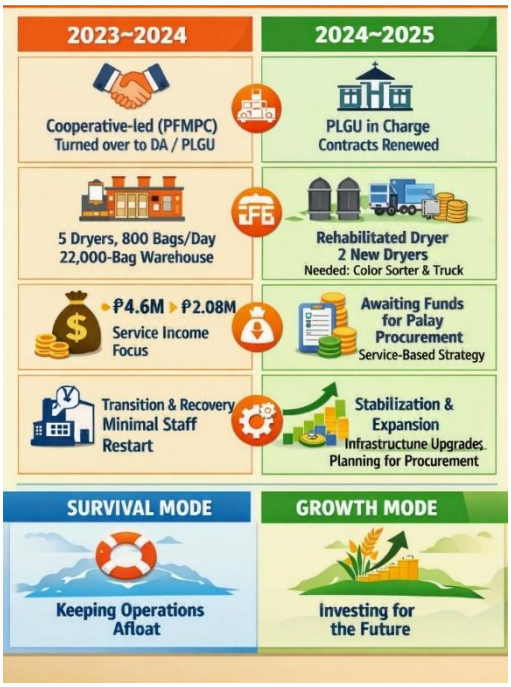
Transition and Stabilization

In the years following the takeover, the provincial government focused on stabilizing operations, upgrading infrastructure, and securing additional working capital. These efforts support sustainable operations aligned with the PLGU's key programs and broader economic development goals.



Current Priorities

The business plan that follows is focused to fully operationalize the IRPC. The infographic on the left traces the cooperative's exit, the transition and survival phases, and the recovery efforts that led to PLGU-led stabilization and infrastructure upgrades for long-term sustainability and growth.
IRPC has progressed from **survival mode** to **growth mode**, strengthening its role in Iloilo's agricultural economy through modernization and government-backed measures for long-term sustainability.



III. Local Economic Enterprise: Nature and Purpose

The Iloilo Rice Processing Complex is envisioned as a Local Economic Enterprise (LEE) operated by the Iloilo Provincial Government. It will serve as a strategic mechanism for supplying the province's essential staple food, delivering services that support local economic growth, and ensuring

operations remain sustainable, accountable, and responsive to community needs. As a revenue-generating enterprise, the IRPC will provide rice and value-adding services, promote development across Iloilo Province and the islands of Panay and Guimaras in Region VI, and pursue financial self-sufficiency and stability in rice production.

The enterprise will generate income while offering rice at the lowest feasible price and delivering cost-based services that address local needs. Through this initiative, the Iloilo Provincial Government seeks to advance **local economic development**, improve public service delivery, reduce poverty, and expand equitable access to essential goods and services.

Benefits to the Iloilo Provincial Government (LGU)

Establishing the IRPC as a Local Economic Enterprise offers broad economic, social, and environmental benefits to Iloilo Province, Region VI, and the country. These benefits demonstrate how the enterprise can help build a more resilient, inclusive, and sustainable local economy.

- **Revenue Generation:** By generating sufficient income to cover operating expenses, the IRPC can reduce its dependence on government subsidies and strengthen LGU finances.
- **Quality Rice Production and Improved Value-Adding Services**: The enterprise will support cost-efficient production of quality rice and the equitable delivery of rice value-adding services to constituents.
- **Economic Development:** The IRPC can stimulate economic growth in Iloilo Province and across Region VI by attracting local investment and supporting small and medium enterprises.
- **Good Governance**: The enterprise can model good governance in both the public and private sectors by promoting transparency, accountability, and citizen participation in local development.
- **Job Creation**: The IRPC can create employment opportunities for local residents and contribute to a stronger regional labor market.
- **Community Pride:** By recognizing local producers and communities as vital contributors to the economy, the enterprise can strengthen local identity and pride.
- **Sustainability:** The IRPC will promote sustainable practices across the rice production value chain, reduce dependence on long-distance transport, and help lower carbon emissions in support of sustainable development goals.
- **Resilience and Ecological Well-Being:** Establishing the IRPC as an LEE will provide a foundation for systemic sustainability by building community wealth, supporting ecological health, and strengthening resilience through localized and regenerative economic activity in Iloilo Province and Region VI.

- **Empowerment:** The IRPC will empower local entrepreneurs and rice-industry businesses by encouraging service innovation and serving as a replicable incubation model for other municipalities and provinces.

IV. Policy Framework: Organizational and Legal Basis[1]

1. Republic Act No. 7160, otherwise known as the Local Government Code of 1991 (LGC), mandates, as a primary operative principle of decentralization, the establishment of an accountable, efficient, and dynamic organizational structure and operating mechanism in the local government units (LGUs) that will meet the priority needs and service requirements of its communities. As sanctioned by the LGC, the structure and operating mechanism may include the establishment and operation of local economic enterprises (LEEs).

2. *The policy framework that serves as basis for the creation and operation of LEEs is primarily the LGC including related circulars intended to strengthen compliance to the relevant provisions of the LGC and related national laws. The policies that guide the creation and operation of LEEs are:*

    a. ***Section 3(b)*** *emphasizes the responsibilities of LGUs to set up appropriate service delivery structures and mechanisms to meet the basic needs of its constituents, to quote: "Section 3(b). "There shall be established in every local government unit an accountable, efficient, and dynamic organizational structure and operating mechanism that will meet the priority needs and service requirements of its communities."*
    b. ***Section 3(f)*** *provides for inter-LGU partnerships in the provision of services and facilities including joint ventures in LEEs, to quote: "Section 3(f). Local government units may group themselves, consolidate or coordinate their efforts, services, and resources commonly beneficial to them."*

[1] Manual on the Setting up and Operation of Local Economic Enterprises, published by the Department of Budget and Management, 2016.

c. ***"Section 3(l).*** *The participation of the private sector in local governance, particularly in the delivery of basic services, shall be encouraged to ensure the viability of local autonomy as an alternative strategy for sustainable development."*

d. ***Section 15*** *lays down the basic functions of LGUs, to wit: (i) political subdivision of the national government of the Republic of the Philippines; and (ii) as a corporate body representing its constituency. As a corporate body, it can undertake business enterprises as a mode of production and delivery of goods and services to its constituents. To quote "Section 15: Political and Corporate Nature of Local Government Units. Every local government unit created or recognized under this Code is a body politic and corporate endowed with powers to be exercised by it in conformity with law. As such, it shall exercise powers as a political subdivision of the national government and as a corporate entity representing the inhabitants of its territory."*

e. ***Section 17(a),*** *Pursuant to the above-quoted the creation of LEEs can be considered as part of the exercise of LGU powers incidental to the efficient and effective provision of basic services and facilities. Under the basic operating principle of self-reliance, said Section also lays down basic LGU performance requisites for service delivery – efficiency and effectiveness. To quote "Section 17(a). Local government units shall endeavor to be self-reliant and shall continue exercising the powers and discharging the duties and functions currently vested upon them. xxx xxx xxx Local government units shall likewise exercise such other powers and discharge such other functions and responsibilities as are necessary, appropriate, or incidental to efficient and effective provision of the basic services and facilities enumerated herein."*

f. ***Section 17(j)*** *further empowers the LGU to sell, lease, encumber, or dispose of economic enterprises to the private sector. It also provides for various forms of private sector participation in LEEs – as creditor, investor, lessor/operator, property buyer, etc. At the same time, it allows LGU divestment of LEEs. The section also allows "service or facility" cost recovery via fees and charges for LEEs. Thus, both capital*

(including financing cost) and operating costs may be recovered through user charges. "Section 17(j). To ensure the active participation of the private sector in local governance, local government units may, by ordinance, sell, lease, encumber, or otherwise dispose of public economic enterprises owned by them in their proprietary capacity."

g. ***Section 17(g)*** *coupled with Section 17(j) implies that the LGU can subsidize LEEs as long as the services and facilities provided are covered under* ***Section 17(b)*** *and the LGU opts not to charge for the delivery for basic services and facilities. "Section 17(g) xxx xxx xxx Any fund or resource available for the use of local government units shall be first allocated for the provision of basic services or facilities enumerated in subsection (b) hereof before applying the same for other purposes, unless otherwise provided in this Code." "Section 17(j) xxx xxx xxx Costs may also be charged for the delivery of basic services or facilities enumerated in this section."*

h. *"**Section 22(d).** Local government units shall enjoy full autonomy in the exercise of their proprietary functions and in the limitations provided in this Code and other applicable laws."*

The Business Plan

A. The Marketing Plan

I. Description of Products and Services

Major sources of revenue based on past performance of the IRPC will come from the following products/services:

1. ***Commercial Rice Buy-and-Sell Operations (46.0%)***

    a. **Milled rice – IRPC** will buy wet paddy and process them to produce milled rice. Milled Rice has had its husk, bran, and germ removed, leaving only the white starchy endosperm produced by removing the outer layers of brown rice, including the husk, bran, and germ, through a milling process.

Types of Milled Rice to be presented to the market:

- Polished Milled Rice
- Semi-Milled or Half-Milled Rice
- Head Rice and Broken Rice

b. By-Products (Rice Husks, Bran, Sorter and Brewer)

- Rice husks or hulls are generated during the first stage of rice milling, when rough rice or paddy rice is husked. Used as fuel, bedding, or in building materials
- Rice bran is generated when brown rice moves through the whiteners and polishers. Rich in nutrients, used for oil extraction or animal feed.
- Broken rice/ Sorter: Sold for processed foods or feed
- Brewer's rice is separated produced when milled rice is sifted.

2. Fee-for- Custom Milling Service Operations (53.5%)

IRPC will provide **Custom milling services** to farmers and paddy/rice producers using Integrated multi-stage processing facilities which uses sequential machines for cleaning, hulling, whitening, and polishing, minimizing mechanical stress and producing high-quality rice suitable for domestic and export markets. The process will convert harvested paddy into polished, edible rice by removing the husk, bran layers, and impurities while maximizing yield and quality. It transforms raw paddy into white rice suitable for consumption. The process involves cleaning, hulling, separating, whitening, and polishing the grains, ensuring that the rice is free from impurities and has minimal broken kernels.

- **Cleaning of Paddy**
  Raw paddy contains straw, dust, stones, and other debris. Pre-cleaning uses rotary screens, air blowers, and sieves to remove these impurities, preventing damage to milling machinery and improving final rice quality
- **Husking / De-husking**
  The husk (outer protective layer) is removed using hullers or rubber roller machines, producing brown rice. Brown rice still

contains the bran layer and endosperm. Proper husking minimizes grain breakage and preserves the kernel.

- **Paddy Separation**
  After husking, machines separate the brown rice from the husk. This ensures that only edible grains proceed to the next stage, while husks are collected as by-products for fuel or animal feed
- **Polishing / Whitening**
  Brown rice is passed through polishing machines to remove the bran layer, producing shiny, white rice. The degree of polishing can vary depending on consumer preference or regional standards. Polishing improves appearance, texture, and shelf life
- **Grading and Sorting**
  Rice is sorted by size, length, and broken grains using sieves and optical sorters. This step ensures uniformity and enhances market value. Broken rice is often used for processed foods or animal feed
- **Packaging**
  The final rice is weighed, blended if necessary, and packed for distribution. Proper packaging maintains quality and prevents contamination
- **Custom Drying**
  IRPC uses controlled high temperatures for rapid drying suitable for commercial operations. Drying stops when the desired moisture is reached. The goal of post-harvest drying is to reduce moisture to about 12%, which preserves quality and maximizes head rice yield for the farmer-customer.

3. **<u>Ancillary Logistics Services -Warehousing and Hauling (0.5%)</u>**

Ancillary services such as Trucking, hauling and warehousing are supporting services that enhance the functionality, reliability and efficiency that complement the Custom Milling and Custom Drying services, and which add value to IRPC major services.

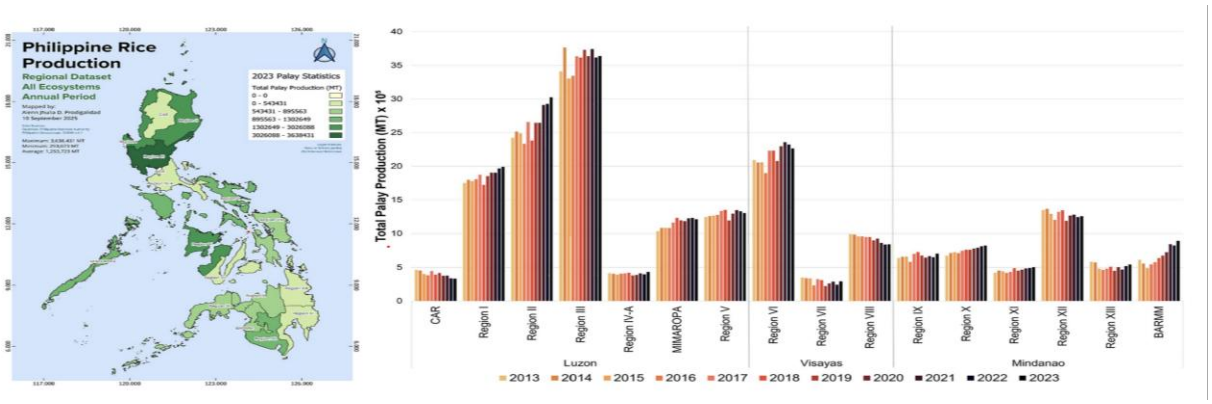
II. Supply and Demand Situation

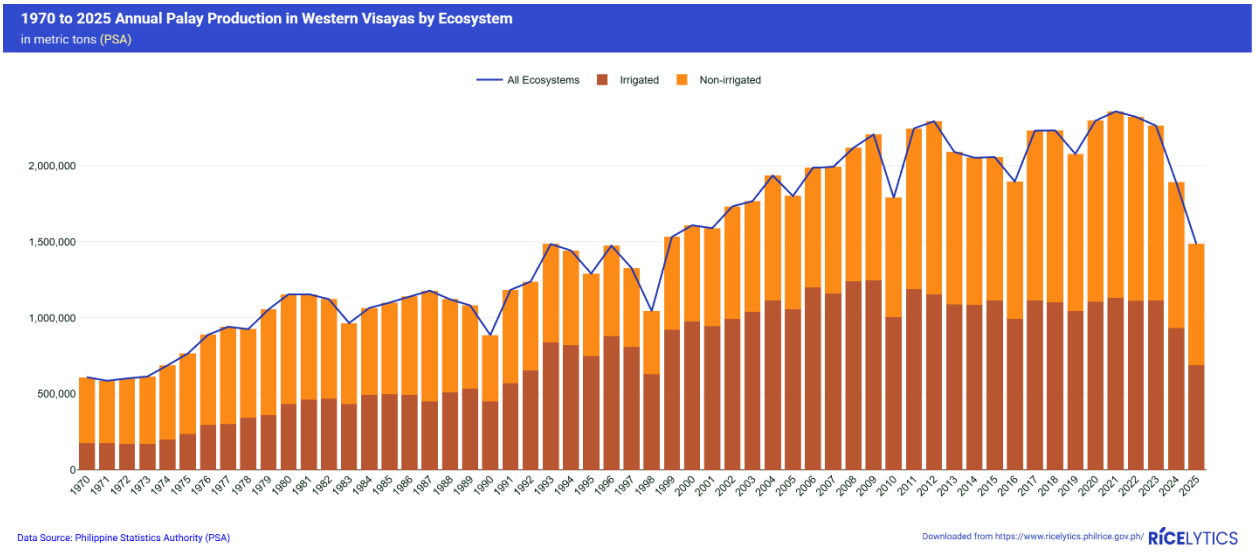
Rice Production Data for Western Visayas

According to 2023 data from the Philippine Statistics Authority, Western Visayas (Region VI) ranked as the country's third-largest rice-producing region. Data covering the 10-year period from 2013 to 2023 shows annual production ranging from 1.3 million to 3.02 million metric tons.

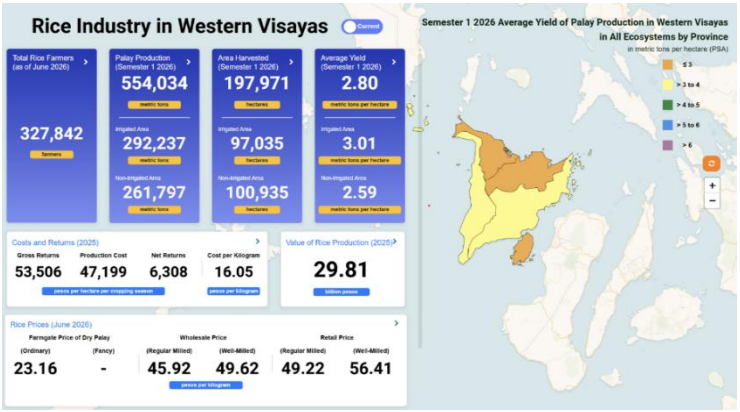
A Philippine Statistics Authority longitudinal study covering 1970 to 2025 shows an upward trend in annual palay (wet paddy) production in Western Visayas, reflecting sustained efforts to increase the region's total output.

Rice Production (Supply)

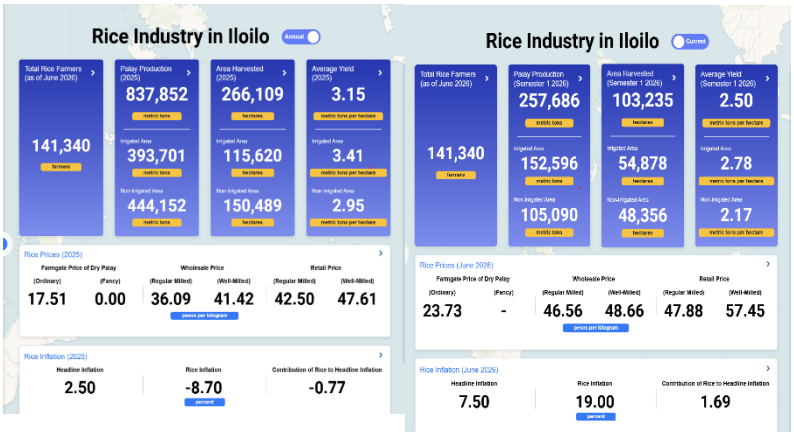




In the first semester of the current year 2026, the rice industry in Western Visayas recorded an average Palay Production of 554 thousand metric tons valued at PhP29.81 billion pesos. This is with the exclusion of Negros Occidental which has become part of the newly formed Negros Island Region (NIR). There is a total of 327,842 recorded rice farmers to produce this output in a total area of 197,971 hectares both irrigated and non-irrigated producing an average yield of 2.8 metric tons per hectare. Iloilo, Antique and Guimaras Island Provinces produce an average yield of between 3 to 4 metric tons per hectare and the other provinces in the region produce an average yield of less than 3 metric tons per hectare.

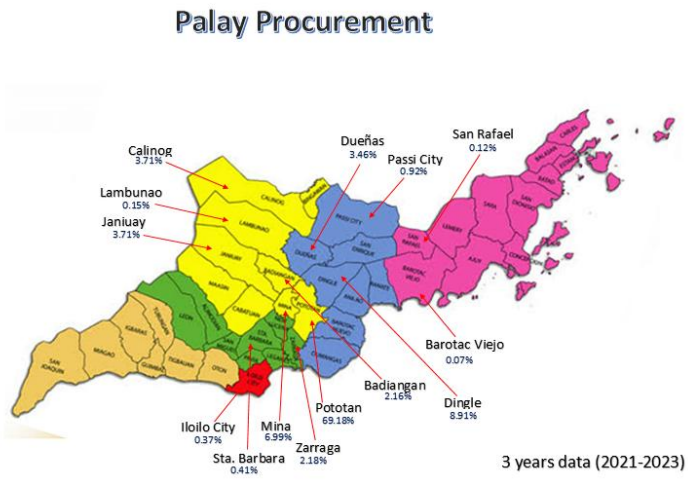


For Iloilo Province the Rice Industry has decreased remarkably from its record high of 837,852 metric tons of wet paddy (palay) in the year 2025 to only 257,686 metric tons in the first semester of 2026.



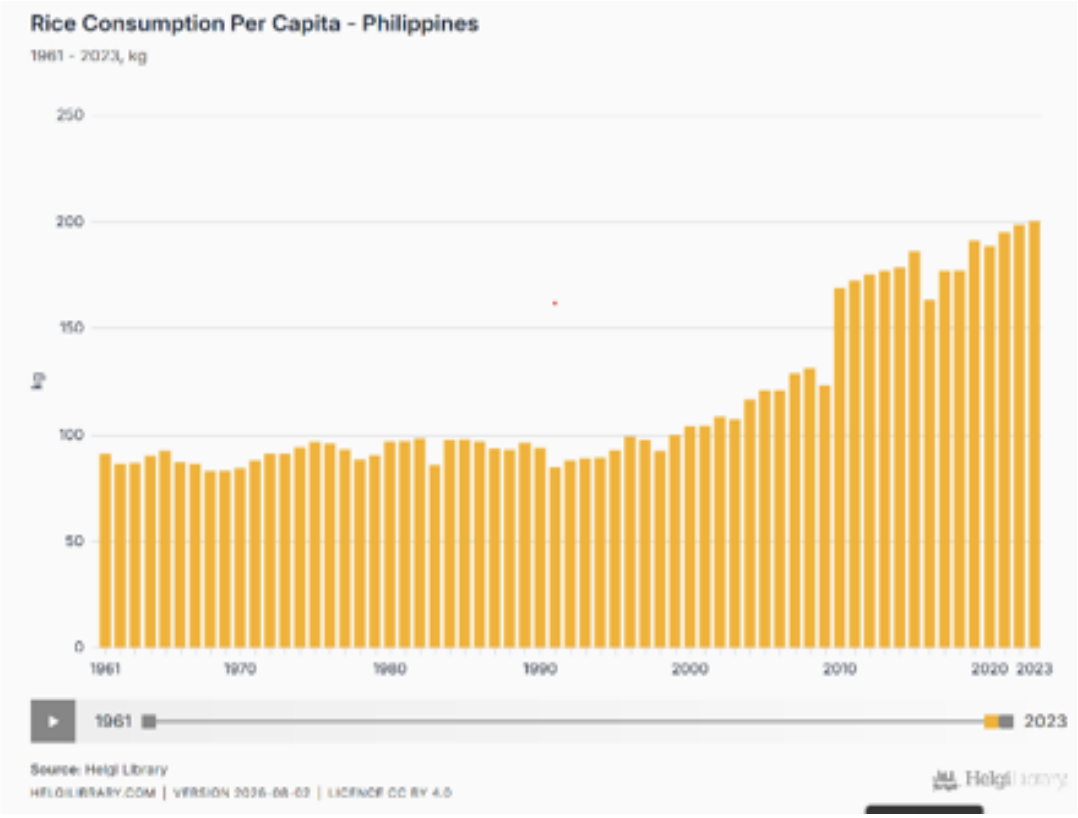
Iloilo Provincial Clients

Shown below are the geographic local sources of wet paddy supply in Iloilo based on the past procurement data of IRPC. The relationships with clients in these areas are continuing and as such the table below shows a continuing source of clients for IRPC's product/services.



Municipality	kg	percentage
BADIANGAN	86,322.10	2.16%
BAROTAC VIEJO	2,788.00	0.07%
CALINOG	147,869.15	3.71%
DUEÑAS	138,086.90	3.46%
PASSI CITY	36,685.10	0.92%
DINGLE	355,493.80	8.91%
ILOILO CITY	14,737.50	0.37%
JANIUAY	40,200.00	1.01%
LAMBUNAO	6,162.60	0.15%
LEGANES	8,286.00	0.21%
LEMERY	6,103.00	0.15%
MINA	278,595.60	6.99%
POTOTAN	2,758,739.15	69.18%
SAN RAFAEL	4,699.00	0.12%
STA. BARBARA	16,181.35	0.41%
ZARRAGA	87,045.15	2.18%
	3,987,994.40	**100%**

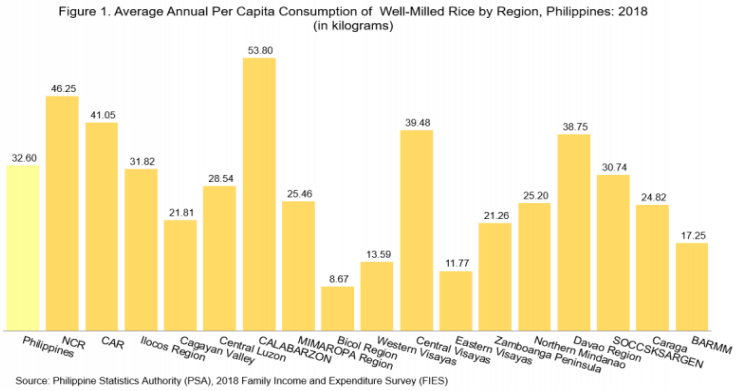
Rice Consumption (Demand)[2]



[2] Source: Downloaded from https://www.helgilibrary.com/indicators/rice-consumption-per-capita/philippines/ on August 1, 2026.

Rice consumption per capita reached 200 kg in 2023 in Philippines, according to Faostat. This is 0.927% more than in the previous year.
Historically, rice consumption per capita in Philippines reached an all time high of 200 kg in 2023 and an all time low of 82.7 kg in 1968.
Philippines has been ranked 9th within the group of 176 countries we follow in terms of rice consumption per capita.

For the regular-milled rice, the average annual per capita consumption was estimated at 66.52 kilograms. On the average, Eastern Visayas recorded the highest average annual per capita consumption among regions at 104.03 kilograms. This was followed by Region VI (Western Visayas) at 102.03.[3]



For the IRPC perspective, the supply and demand situation laid down above indicates the market viability for the continuing operations of the Rice Processing Complex.

Competition

Currently, these are the other Rice Milling Providers (*competitors*) with similar services as the IRPC in the Western Visayas Region:

1. HMP RICE MILL – Iloilo-Capiz Road, Macatol
2. KMJ Rice Mill -Iloilo Diversion Road, Iloilo City

[3] Source: Downloaded from https://psa.gov.ph/content/average-annual-capita-consumption-selected-agricultural-commodities-2018 on Aug. 1, 2026.

3. Blesario rice mill – Mandurriao-San Miguel-Alimodian-Maasin-Cabatuan Road, Murubuan
4. Falsis Rice Mill – Iloilo R-2 Road 5001 Pavia Western Visayas
5. Rice Mill - Bolabog , Baje-Ngi-ngi-an-Bingawan Road Bolabog Western
6. GGS Rice Mill – Iloilo City Leganes Dumangas Coastal Rd 5000 Leganes Western Visayas
7. Joben Rice Mill – 101 F C Zulueta Street Oton Western Visayas
8. Restia Rice Milling Corp. – Iloilo City Leganes Dumangas Coastal Rd 5000 Iloilo City

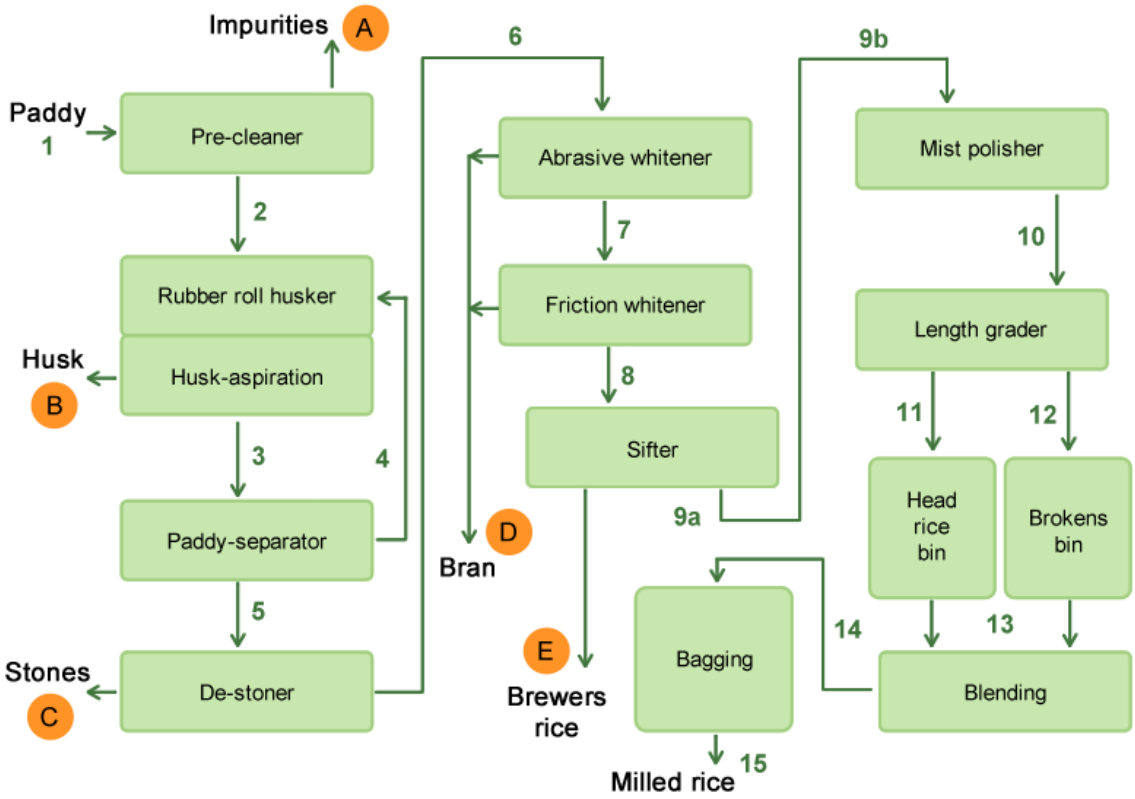
Customers

Currently IRPC caters to the following major customers on a regular basis:

	Name	Kilos/Year	Address	Remarks
1	ACES Agricultural Cooperative	7,000	Iloilo City	Cooperative
2	Alex Uy	300,000	Bacolod	Wholesaler
3	Boy Parcon	10,000	Pototan	Retailer
4	Cheryl Flores	100,000	Kalibo	Wholesaler
5	Clemente Abordo	50,000	Bacolod	Retailer
6	Deduyo	125,000	Bacolod	Wholesaler
7	Emilio Rosal	50,000	Iloilo City	Retailer
8	Ethel Eudela	50,000	Iloilo City	Retailer
9	Evelyn jimena	22,000	Guimbal	Retailer
10	Ivy Siocon	6,000	Pototan	Retailer
11	Jay-r Lopez	12,500	Pototan	Retailer
12	Jeffrey Yap	75,000	Bacolod	Wholesaler
13	Mario Bajon	30,000	Iloilo City	Retailer
14	Neri Tumacag	6,000	Guimbal	Retailer
15	PFMPC	15,000	Pototan	Cooperative
16	Randy Latoza	20,000	Dingle	Retailer
17	Raymund Suresca	35,000	Janiuay	Retailer
18	Reo Lauron	30,000	Iloilo City	Retailer
19	SECDEP	16,000	Iloilo City	Institutional Buyer
20	SkyLove	25,000	Iloilo City	Retailer
		984,500		

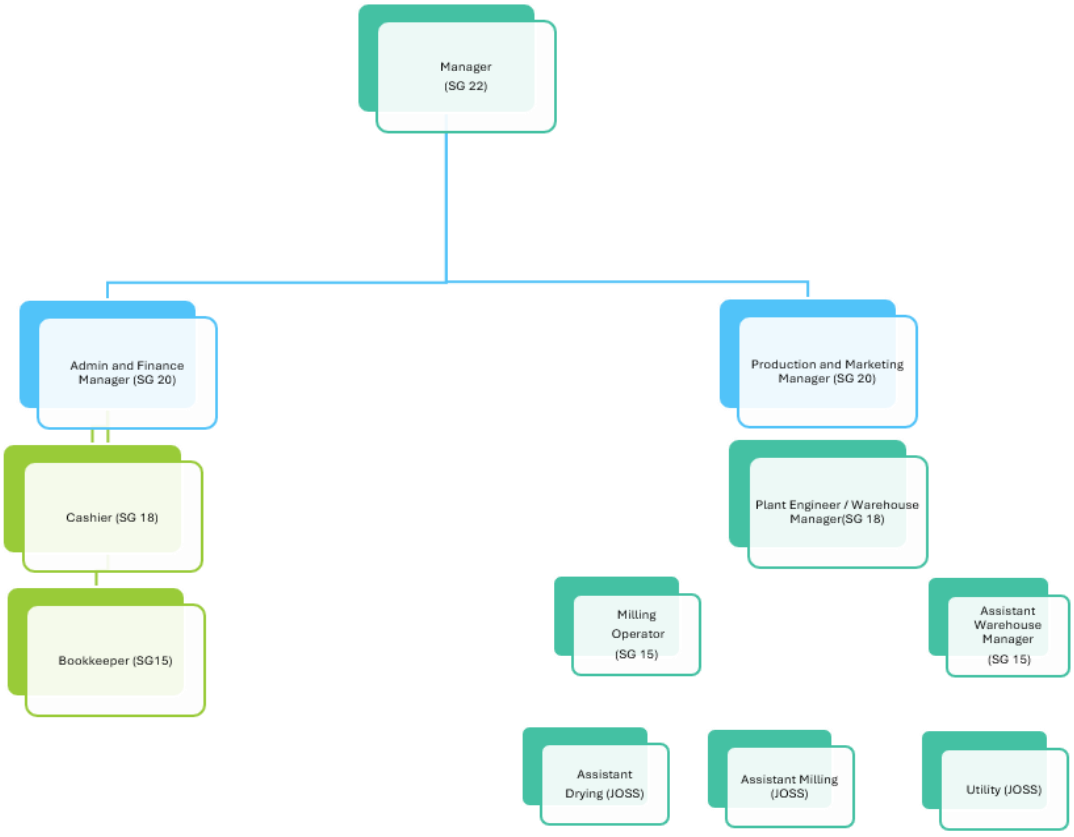
Operations and Production Study

The production system of the Iloilo Rice Processing Complex follows the complex but sophisticated one-stop shop processing. This is best exemplified in the following diagram.



Organization and Management

The following table of organization shows the projected organization and management of the IRPC to ensure its full functionality and efficient operations:



Corresponding to the table above, the following salary schedule constitutes the approximate payroll computation related to the personnel complement. This computation approximates the actual costs to be incurred based on the regulatory and mandatory provisions of the government. This also approximates the actual cash outlay on an annual basis starting with year 2027.

Categorized Salary Schedule (Indirect Labor vs. Administrative Expenses)

#	Designation	Employment Status	Salary Grade 2027 Tranche	Monthly Salary Rate (₱)	Annual Salary	Accounting Classification & Function
1. Administrative Expenses (Operating Expenses / OPEX)						
1	**Manager**	Regular	22	85,431.00	1,025,172.00	Executive Management & Business Strategy
2	**Admin and Finance Manager**	Regular	20	69,138.00	829,656.00	Financial Control, HR & Corporate Governance
3	**Production and Marketing Manager**	Regular	20	69,138.00	829,656.00	Sales, Commercial & Marketing Oversight
4	**Cashier**	Regular	18	56,332.00	675,984.00	Disbursements & Cash Management
5	**Bookkeeper**	Regular	15	44,148.00	529,776.00	Financial Accounting & General Ledger Maintenance
6	**Utility**	Contractual/JO	3	17,120.00	205,440.00	General Administrative Office Sanitation & Maintenance
	Subtotal Administrative Expenses:			**341,307.00**	**4,095,684.00**	
2. Indirect Labor (Factory Overhead / COGS)						
1	**Plant Manager and Marketing Manager (SG 18)**	Regular	18	56,332.00	675,984.00	Plant Operations & Processing Supervision
2	**Milling Operator**	Regular	15	44,148.00	529,776.00	Technical Equipment Operation & Mill Maintenance
3	**Assistant Warehouse Manager**	Regular	15	44,148.00	529,776.00	Warehouse Inventory Control & Palay/Rice Handling
4	**Utility-Assistant Milling Operator**	Contractual/JO	3	17,120.00	205,440.00	Assisting Milling Floor & Technical Operations
5	**Utility-Assistant Drying Operator**	Contractual/JO	3	17,120.00	205,440.00	Assisting Mechanical Grain Drying Operations
	Subtotal Indirect Labor:			**178,868.00**	**2,146,416.00**	
	GRAND TOTAL SALARIES:			**520,175.00**	**6,242,100.00**	

Pertinent to this organizational structure, the following tables show the Annual Bonuses and mandatory deductions and the employer contributions to the mandatory deductions of the employees and their respective net salaries:

Annual Bonus Schedule (13th & 14th Month Pay)					
POLICY NOTE: Only Regular Employees are eligible for 13th Month Pay and 14th Month Pay Bon					
Designation	**Monthly Gross Salary**	**Rate / Hour**	**Bonuses**		**Total Bonuses**
			13th Month Pay	**14th Month Pay**	
Manager	85,431.00	485.40	85,431.00	85,431.00	170,862.00
Admin and Finance Manager	69,138.00	392.83	69,138.00	69,138.00	138,276.00
Production and Marketing Manager	69,138.00	392.83	69,138.00	69,138.00	138,276.00
Cashier	56,332.00	320.07	56,332.00	56,332.00	112,664.00
Bookkeeper	44,148.00	250.84	44,148.00	44,148.00	88,296.00
Plant Manager and Marketing Manager	56,332.00	320.07	56,332.00	56,332.00	112,664.00
Milling Operator	44,148.00	250.84	44,148.00	44,148.00	88,296.00
Assistant Warehouse Manager	44,148.00	250.84	44,148.00	44,148.00	88,296.00
GRAND TOTAL	**468,815.00**		**468,815.00**	**468,815.00**	**937,630.00**

Designation	**Monthly Gross Salary**	**Employer Share**			**MONTHLY TOTAL**	**Annual TOTAL**
		GSIS (12% of salary)	**HMDF (2% of salary)**	**PHILHEALTH (2.5%)**		
Manager	85,431.00	10,251.72	200.00	2,135.78		
Admin and Finance Manager	69,138.00	8,296.56	200.00	1,728.45		
Production and Marketing Manager	69,138.00	8,296.56	200.00	1,728.45		
Cashier	56,332.00	6,759.84	200.00	1,408.30		
Bookkeeper	44,148.00	5,297.76	200.00	1,103.70		
Plant Manager and Marketing Manager (SG 18)	56,332.00	6,759.84	200.00	1,408.30		
Milling Operator	44,148.00	5,297.76	200.00	1,103.70		
Assistant Warehouse Manager	44,148.00	5,297.76	200.00	1,103.70		
Utility-Assistant Milling Operator	17,120.00	2,054.40	200.00	428.00		
Utility-Assistant Drying Operator	17,120.00	2,054.40	200.00	428.00		
Utility	17,120.00	2,054.40	200.00	428.00		
GRAND TOTAL		**62,421.00**	**2,200.00**	**13,004.38**	**77,625.38**	**931,504.50**

#	Designation	Employment Status	rade 2027	Salary Rate (₱)	Annual Salary	Deductions				Other Benefits	Net Salary (Monthly)	Net Salary (Annual)
1. Administrative Expenses (Operating Expenses / OPEX)						GSIS (9% of salary)	HMDF (2% of salary)	Withholding Tax(BIR Calculator)	PHILHEALTH (2.5%)	PERA		
1	Manager	Regular	22	85,431.00	1,025,172.00	-₱ 7,688.79	-200	-11,226.66	-2135.78	2000	₱ 66,179.78	₱ 794,157.30
2	Admin and Finance Manager	Regular	20	69,138.00	829,656.00	-₱ 6,222.42	-200	-7,805.83	-1728.45	2000	₱ 55,181.30	₱ 662,175.60
3	Production and Marketing Manager	Regular	20	69,138.00	829,656.00	-₱ 6,222.42	-200	-7,805.83	-1728.45	2000	₱ 55,181.30	₱ 662,175.60
4	Cashier	Regular	18	56,332.00	675,984.00	-₱ 5,069.88	-200	-5,539.16	-1408.3	2000	₱ 46,114.66	₱ 553,375.92
5	Bookkeeper	Regular	15	44,148.00	529,776.00	-₱ 3,973.32	-200	-3,382.60	-1103.7	2000	₱ 37,488.38	₱ 449,860.56
6	Utility	Contractual/JO	3	17,120.00	205,440.00	-₱ 1,540.80	-200	0.00	-428	2000	₱ 16,951.20	₱ 203,414.40
	Subtotal Administrative Expenses:			**341,307.00**	**4,095,684.00**	**-₱ 30,717.63**	**-1200**	**-35,760.08**	**-8532.68**	**12000**	**₱ 277,096.62**	**₱ 3,325,159.38**
2. Indirect Labor (Factory Overhead / COGS)												
1	Plant Manager and Marketing Manager (SG 18)	Regular	18	56,332.00	675,984.00	-₱ 5,069.88	-200	-5539.16	-1408.3	2000	₱ 46,114.66	₱ 553,375.92
2	Milling Operator Assistant	Regular	15	44,148.00	529,776.00	-₱ 3,973.32	-200	-3382.6	-1103.7	2000	₱ 37,488.38	₱ 449,860.56
3	Warehouse Manager Utility-Assistant	Regular	15	44,148.00	529,776.00	-₱ 3,973.32	-200	-3382.6	-1103.7	2000	₱ 37,488.38	₱ 449,860.56
4	Milling Operator Utility-Assistant	Contractual/JO	3	17,120.00	205,440.00	-₱ 1,540.80	-200	0	-428	2000	₱ 16,951.20	₱ 203,414.40
5	Drying Operator	Contractual/JO	3	17,120.00	205,440.00	-₱ 1,540.80	-200	0	-428	2000	₱ 16,951.20	₱ 203,414.40
	Subtotal Indirect Labor:			**178,868.00**	**2,146,416.00**	**-₱ 16,098.12**	**-1000**	**-12304.36**	**-4471.7**	**10000**	**₱ 154,993.82**	**₱ 1,859,925.84**
	GRAND TOTAL SALARIES:			**520,175.00**	**6,242,100.00**							

Financial Assumptions

On Time Value and Inflation

1. **Inflation Factors** were incorporated in the Financial projections following the recent data from the Philippine Statistics Authority.[4]

   Following the trend at the national level and in NCR, the overall inflation in AONCR decelerated to 6.7 percent in June 2026 from 7.1 percent in May 2026. Inflation rate in the area was recorded at 1.1 percent in June 2025. The deceleration of inflation in the area was primarily contributed by the slower annual increment in the transport index at 13.8 percent during the month from 17.3 percent in May 2026. Also contributed to the downtrend of the overall inflation in AONCR were the lower annual growth rates in the indices of food and non-alcoholic beverages at 5.8 percent in June 2026 from 6.3 percent in the previous month, and furnishings, household equipment and routine household maintenance at 3.8 percent during the month from 4.0 percent in May 2026.

[4] Source: Downloaded from https://psa.gov.ph/content/summary-inflation-report-consumer-price-index-2018100-june-2026 August 2, 2026.

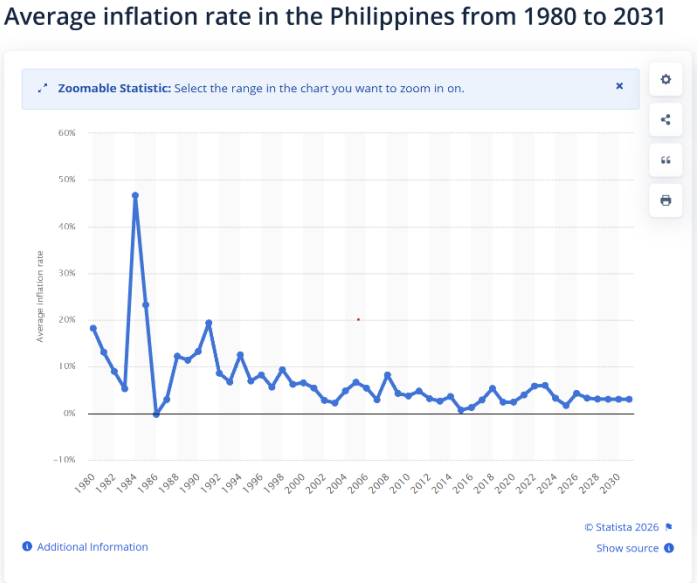
Table B. Year-on-Year Inflation Rates in the Philippines, All Items
January 2021 to June 2026
In Percent
(2018=100)

Month	Year					
	2021	2022	2023	2024	2025	2026
January	3.7	3.0	8.7	2.8	2.9	2.0
February	4.2	3.0	8.6	3.4	2.1	2.4
March	4.1	4.0	7.6	3.7	1.8	4.1
April	4.1	4.9	6.6	3.8	1.4	7.2
May	4.1	5.4	6.1	3.9	1.3	6.8
June	3.7	6.1	5.4	3.7	1.4	6.4
July	3.7	6.4	4.7	4.4	0.9	
August	4.4	6.3	5.3	3.3	1.5	
September	4.2	6.9	6.1	1.9	1.7	
October	4.0	7.7	4.9	2.3	1.7	
November	3.7	8.0	4.1	2.5	1.5	
December	3.1	8.1	3.9	2.9	1.8	
Average	**3.9**	**5.8**	**6.0**	**3.2**	**1.7**	**4.8**

Source: Philippine Statistics Authority, Retail Price Survey of Selected Commodities for the Generation of Consumer Price Index

2. The average annual inflation rate from 2027 to 2031 is based on the Average inflation rate as observed in the time series from 1980 to 2031 as reflected on the graph below : [5]

- 2027: 3.24%
- 2028: 3.04%
- 2029: 3.00%
- 2030: 3.00%
- 2031: 3.00%



In 2025, the average inflation rate in the Philippines stood at 1.66 percent. Between 1980 and 2025, the figure dropped by 16.54 percentage points, though the decline followed an uneven course rather than a steady

[5] Source: Downloaded from https://www.statista.com/statistics/578717/inflation-rate-in-philippines/ on Aug. 1, 2026.

trajectory. From 2025 to 2031, the inflation will rise by 1.34 percentage points, showing an overall upward trend with periodic ups and downs. This indicator measures inflation based upon the year-on-year change in the average consumer price index, expressed in percent. The latter expresses a country's average level of prices based on a typical basket of consumer goods and services.

On Capital Infusion and Revenue Projections

The Iloilo Provincial Government will infuse fresh capital to be used to finance an enhanced operation of the IRPC. By enhanced operations, this would refer to an increase of utilization of the facilities to a level that would fully use up its normal capacity of 264 days.

The infusion of fresh capital of PESOS: FIFTEEN MILLION (PhP 15,000,000.00) will be used for working capital needs of the IRPC specifically for the purchase of wet paddy (Palay) at an average rate of PhP18.00 per kilo based on the current (2026) farm gate prices of harvested palay. This will translate to approximately 834,000 metric tons (84 days operations). Due to inflationary factors, the price per kilo of wet paddy are expected to increase as follows:

- 2027 - (PhP 18.00 @3.24% inflation) = PhP 18.60
- 2028 - (PhP18.60 @ 3.04% inflation) = PhP 19.17
- 2029 - (PhP 19.17 @ 3.00% inflation) = PhP 19.74
- 2030 - (PhP19.74 @ 3.00% inflation) = PhP 20.33
- 2031 - (PhP 20.33 @ 3.00% inflation) = PhP 20.94

To maintain the level of wet paddy complete rice processing and selling, with the inflationary factor on the prices of wet paddy, the following will be needed to be infused either through a profit plow back or fresh injection of working capital.

Items	2027	2028	2029	2030	2031
Wet Paddy needed to be purchased and processed	840,000	840,000	840,000	840,000	840,000
Purchase price	18.6	19.17	19.74	20.33	20.94
Capital Needed	15,624,000.00	16,102,800.00	16,581,600.00	17,077,200.00	17,589,600.00
Additional Funds to be infused	**624,000.00**	**1,102,800.00**	**1,581,600.00**	**2,077,200.00**	**2,589,600.00**

The normal capacity of the IRPC is equivalent to 264 days a year. It is assumed that 180 (264 days- 84 days) will be used for custom drying and custom milling and as the IRPC progresses into profitable operations, it will continuously plow back 10-20% of its income to increase the volume of purchase and process milling of wet paddy into salable milled rice.

Revenue projections for the first year of enhanced operations (2027) are presented below.

RICE MILLING & CUSTOM SERVICES REVENUE PROJECTION

Category	Line Item / Metric	Amount / Value
Rice Complete Milling	Seed Money/ Working Capital	15,000,000.00
	Price per kilo of Wet Paddy	18.00
	Number of kilos that can be purchased	833,333.33
	Operating days in a year for Rice Production	83.33
	Wet Paddy purchased	833,333.33
	Drying Recovery (in kilos) 80%	666,666.67
	Milling Recovery (in kilos) 60%	400,000.00
	Average Selling Price per Kilo	50.6975
	Projected Annual Revenue from Buy and Sell Rice	**20,279,000.00**
	By-Products (Bran, Sorter and Brewer)	**1,013,950.00**
Custom Drying	Daily Cap for CD per Drying bin (kg)	8,000.00
	Number of Drying bins	5
	Total Drying Cap per Load (kg)	40,000.00
	Number of Loads per day	2
	Daily Cap for CD (kg)	80,000.00
	Annual operating days allotted for CD	180
	Max Annual wet paddy for CD (in kilos)	14,400,000.00
	Drying Recovery (in kilos) 80%	11,520,000.00
	Average Custom Drying Fee per kilo	1.25
	Projected Annual Revenue from Custom Drying	**14,400,000.00**
Custom Milling	Dry Paddy Custom Drying Output	11,520,000.00
	Estimated Max Dry Paddy for CM (50%)	5,760,000.00
	Milling Recovery (60%)	3,456,000.00
	Average Custom Milling Fee per kilo	3.00
	Projected Annual Revenue from Custom Milling	**10,368,000.00**
Ancillary Services	**Ancilliary Services (Trucking/Hauling)**	**247,680.00**
TOTAL	**TOTAL REVENUE**	**46,308,630.00**

A random percentage of 20% of income derived from the operations will be used to CROSS – SUBSIDIZE the Rice Program of the PLGU, specifically the “Benteng Bigas” (Rice at 20.00 per kilo) dedicated for the support of the indigents.

On Operating Expenditures and other Expenses

The projections for the operating expenses will use a judgmental approach and percentage of sales method from 2027 to 2031. Tabled below are the average rates to be used for the projections.

The following macro-economic basis and demographic assumptions are forwarded to come up with reasonable approximations of inputs in the financial projections.

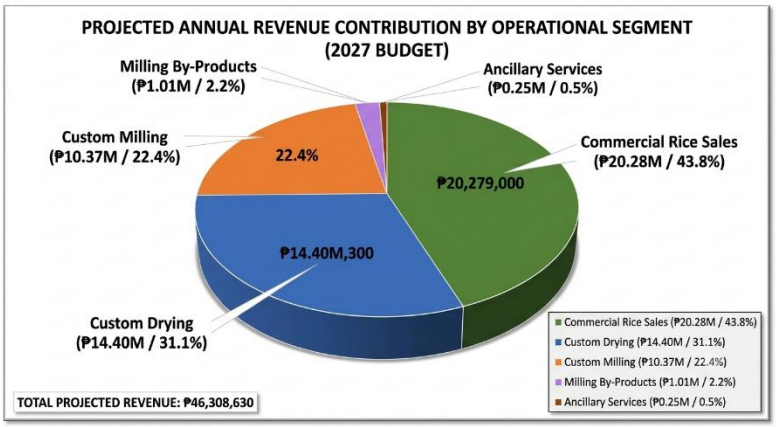
MACROECONOMIC BASIS & DEMOGRAPHIC ASSUMPTIONS				
Baseline Context & Data Sources for Western Visayas (Iloilo City & Province)				
Macro Factor / Parameter	**Baseline Data Point**	**Annual Projected Rate**	**Data Source / Reference Basis**	**Application in Financial Model**
Iloilo City Population Growth Rate	473,728 (2024 Census)	0.83% annually	Philippine Statistics Authority (PSA)	Drives urban retail commercial rice consumption demand.
Iloilo Province Population Growth Rate	2,082,616 (2024 Census)	0.36% annually	Philippine Statistics Authority (PSA)	Reflects rural agricultural farming population & paddy volume aggregation.
Blended Regional Growth Multiplier	2,556,344 combined population	0.45% weighted average	Weighted PSA Census Synthesis	Serves as the baseline volume scaling driver for regional rice production.
Philippine Headline Inflation Rate	3.0% Midpoint Target	3.00% annually	Bangko Sentral ng Pilipinas (BSP)	Indexes selling prices per kilo, custom service unit fees, and operational vendor costs.

On the following table, Macroeconomic Growth Drivers were used to approximate expense projections on the financial statements to bring out a true approximation of the operating scenario of the IRPC for the next 5 years (2027-2031).

EXPENSE IMPACT & MACROECONOMIC GROWTH DRIVERS METHODOLOGY *Classification of Operating Expenses by Sensitivity to Regional Population Growth and Inflation*				
Expense Category / Group	**Applicable Line Items**	**Primary Driver**	**Annual Escalation Rate**	**Economic & Operational Rationale**
Variable Direct Operating Costs	Raw Materials (Palay), Freight In, Direct Labor (Pakyaw), Electricity	Composite Growth (V	3.45% annually	Subject to dual escalation: price per kilo/kWh/fuel increases with BSP inflation (3.0%), while total physical throughput expands to meet regional population growth (0.45%).
Volume-Driven Incentives	Farmers' Incentives	Population Growth Or	0.45% annually	Scales directly with total agricultural paddy volume aggregated to fulfill regional consumer rice demand.
Fixed Direct & Admin Overhead	Indirect Labor, Plant Supplies, Salaries, Office Supplies, Insurance, Professional Fees, Repairs, SSS/GSIS/PhilHealth, Travel, Meetings	Headline Inflation On	3.00% annually	Overhead items do not increase per bag milled but require annual cost-of-living salary indexation and vendor price adjustments.
Variable Admin Expenses	Commissions, Freight Out, Fuel/Oil/Lubricants, Water Utility	Composite Growth (V	3.45% annually	Tied to total sales revenue volume, transport activity for finished goods distribution, and operational utility usage.
Fixed Non-Escalating Expenses	Depreciation Expense	Fixed Cost (Zero Esc	0.00% annually	Capital expenditure depreciation schedules follow fixed straight-line accounting amortizations and remain unimpacted by market inflation or short-term volume changes.

Projections on the initial year of operations

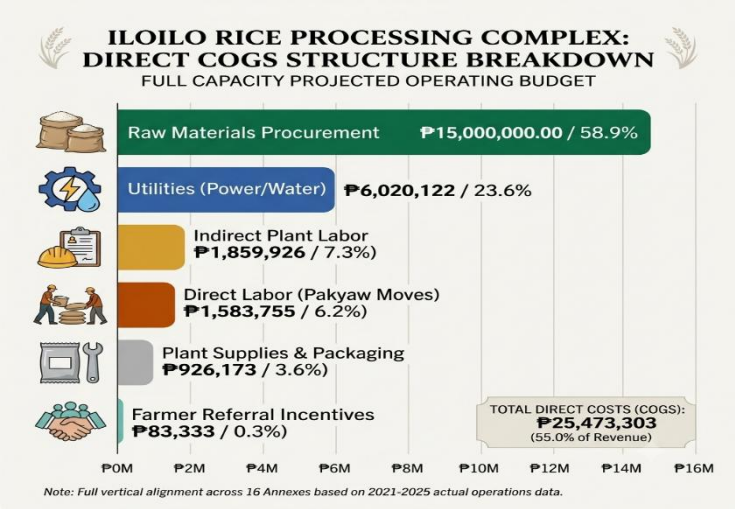
The financial engine of the IRPC is built upon a hybrid, multi-stream revenue model that balances commercial commodity trading with high-margin, fee-for-service operations. Under full operational capacity, total annual revenue is projected at ₱46,308,630.00. Fee-for-Service Operations (53.5% / ₱24,768,000.00): The primary cash flow stabilizer relies on custom drying and custom milling. Mechanical drying utilizes 5 drying bins operating over 180 annual days (processing 14,400,000 kg of wet paddy at ₱1.25/kg) to generate ₱14,400,000.00. Custom milling processes 5,760,000 kg of dried paddy (at ₱3.00/kg) to generate ₱10,368,000.00. Commercial Rice Buy-and-Sell Operations (46.0% / ₱21,292,950.00): Sourcing 833,333.33 kg of wet paddy using ₱15,000,000.00 in revolving working capital yields 400,000 kg of milled rice sold at an average wholesale price of ₱50.70/kg (₱20,279,000.00) alongside milling by-products (₱1,013,950.00). Ancillary Logistics Services (0.5% / ₱247,680.00): Dedicated hauling and warehousing services maximize fleet utilization.



Direct Operational Cost (COGS)

Direct Cost of Goods Sold (COGS) totals **₱25,473,302.82**, representing **55.01% of total income** and establishing a **Gross Operating Margin of 44.99% (₱20,835,321.18)**.

- **Raw Material Procurement (₱15,000,000.00):** Constitutes 58.88% of COGS, acquiring 833,333.33 kg of wet paddy at a farmgate benchmark of ₱18.00/kg. Inbound freight is fully absorbed using internal fleet vehicles.
- **Utility Intensity (₱6,020,121.90):** Continuous mechanical drying and industrial milling electricity requirements scale at 13.00% of gross revenue based on 5-year historical operational trends.
- **Labor Allocation & Plant Overhead (₱3,443,680.99):** Direct handling and bagging labor (*Pakyaw*) accounts for ₱1,583,755.15 (3.42% of revenue), supported by ₱1,859,925.84 in indirect plant supervisory salaries.
- **Direct Consumables & Sourcing (₱1,009,505.93):** Plant packaging supplies scale at 2.00% of revenue (₱926,172.60), complemented by ₱83,333.33 in farmer referral incentives.

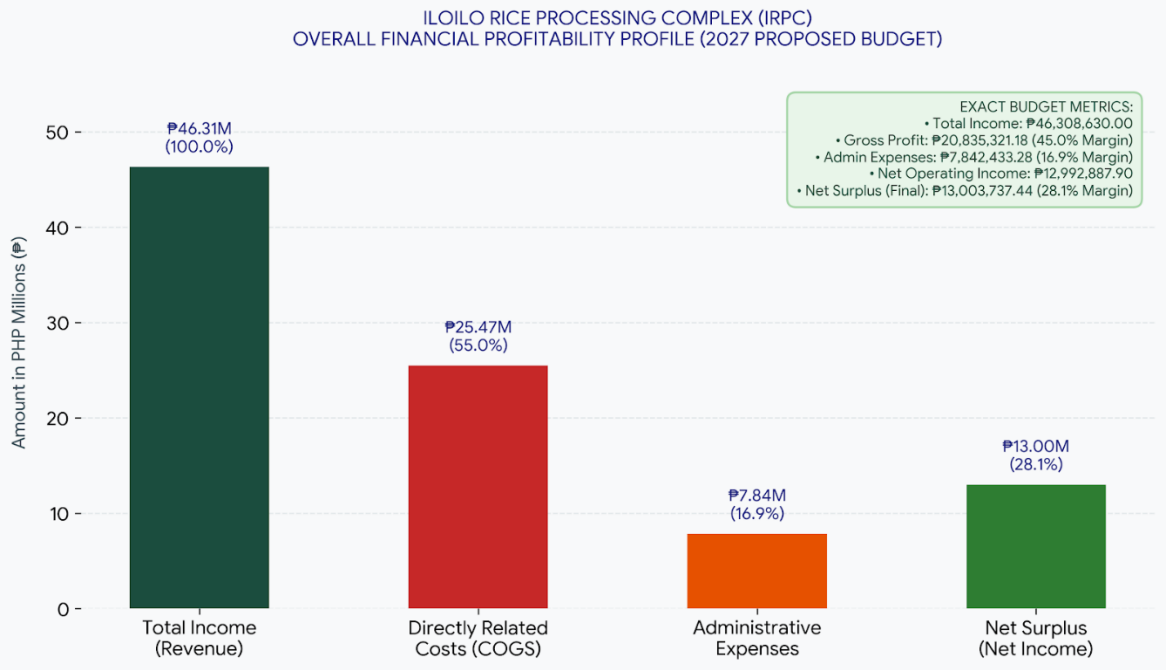


Human Capital Framework & Administrative OPEX

The organization utilizes 11 key positions divided between executive management and plant operations. Gross annual payroll stands at **₱6,242,100.00**, supported by **₱931,504.50** in mandatory statutory employer overhead (GSIS 12%, PhilHealth 2.5%, HDMF 2%) and **₱937,630.00** in regular employee 13th and 14th-month bonuses. It is based on the Government Salary Grade Fourth Tranche that will be implemented next year. Non-salary administrative expenses (**₱2,648,139.40**) represent 5.72% of total revenue. Key non-salary allocations include vehicle/machinery upkeep (**₱824,290.59**), fuel and lubricants (**₱463,084.60**), fixed asset depreciation (**₱480,000.00**), audit fees (**₱100,000.00**), and capacity training (**₱100,000.00**).

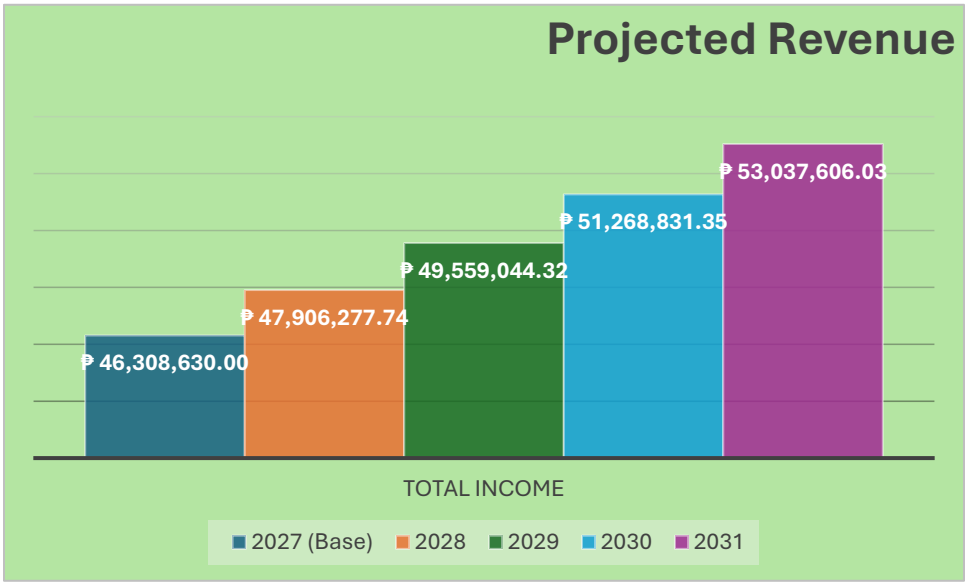
Profitability & Financial Feasibility

Subtracting total administrative operating expenses (**₱7,842,433.28**) from gross profit (**₱20,835,321.18**) and adding interest/other income (**₱10,849.54**) yields a net operating surplus of **₱13,003,737.44**.

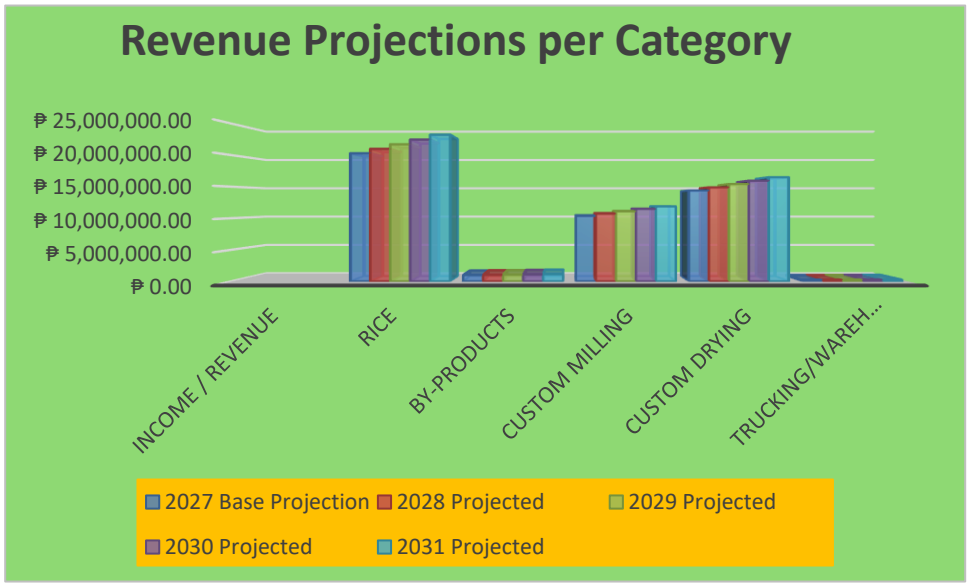


The Graph shows strong profit conversion. Generating a 28.08% net margin under full operational capacity demonstrates that the Iloilo Rice Processing Complex possesses robust financial viability, robust liquidity, and long-term economic sustainability.

Five-year Revenue Projection based on Assumptions



The projected revenues for the period 2027 to 2031 is upward at a growth rate of 3.45% per annum over a five year period of 2027-2031. As shown on the graphs below, the growth in revenue also causes the profit line to have the same trajectory which gives a positive signal that growth is sustainable.



RICE MILLING & CUSTOM SERVICES - 5-YEAR MASTER FINANCIAL PROJECTIONS (2027 - 2031)

Incorporating Iloilo Population Growth (0.45%) and Philippine Headline Inflation (3.00%) Across Revenue & Expenses

Macroeconomic Growth Rates Reference Block:					
Driver Description	**2027 (Base)**	**2028**	**2029**	**2030**	**2031**
Inflation Rate (BSP)	**0.00%**	**3.00%**	**3.00%**	**3.00%**	**3.00%**
Population Growth Rate (Iloilo)	**0.00%**	**0.45%**	**0.45%**	**0.45%**	**0.45%**
Composite Growth Rate (Revenue & Var Exp)	**0.00%**	**3.45%**	**3.45%**	**3.45%**	**3.45%**
Fixed Cost Escalation Rate	**0.00%**	**0.00%**	**0.00%**	**0.00%**	**0.00%**

Financial Statement Item	2027 Base Projection	2028 Projected	2029 Projected	2030 Projected	2031 Projected
INCOME / REVENUE					
Rice	₱ 20,279,000.00	₱ 20,978,625.50	₱ 21,702,388.08	₱ 22,451,120.47	₱ 23,225,684.12
By-Products	₱ 1,013,950.00	₱ 1,048,931.28	₱ 1,085,119.40	₱ 1,122,556.02	₱ 1,161,284.21
Custom Milling	₱ 10,368,000.00	₱ 10,725,696.00	₱ 11,095,732.51	₱ 11,478,535.28	₱ 11,874,544.75
Custom Drying	₱ 14,400,000.00	₱ 14,896,800.00	₱ 15,410,739.60	₱ 15,942,410.12	₱ 16,492,423.27
Trucking/Warehousing	₱ 247,680.00	₱ 256,224.96	₱ 265,064.72	₱ 274,209.45	₱ 283,669.68
Total Income	**₱ 46,308,630.00**	**₱ 47,906,277.74**	**₱ 49,559,044.32**	**₱ 51,268,831.35**	**₱ 53,037,606.03**
LESS: DIRECTLY RELATED COSTS					
Raw Materials (Palay)	₱ 15,000,000.00	₱ 15,517,500.00	₱ 16,052,853.75	₱ 16,606,677.20	₱ 17,179,607.57
Freight In	₱ 0.00	₱ 0.00	₱ 0.00	₱ 0.00	₱ 0.00
Farmers' Incentives	₱ 83,333.33	₱ 83,708.33	₱ 84,085.02	₱ 84,463.40	₱ 84,843.49
Direct Labor (Pakyaw)	₱ 1,583,755.15	₱ 1,638,394.70	₱ 1,694,919.32	₱ 1,753,394.04	₱ 1,813,886.13
Electricity	₱ 6,020,121.90	₱ 6,227,816.11	₱ 6,442,675.76	₱ 6,664,948.07	₱ 6,894,888.78
Indirect Labor	₱ 1,859,925.84	₱ 1,915,723.62	₱ 1,973,195.32	₱ 2,032,391.18	₱ 2,093,362.92
Plant Supplies	₱ 926,172.60	₱ 953,957.78	₱ 982,576.51	₱ 1,012,053.81	₱ 1,042,415.42
Total Directly Related Costs	**₱ 25,473,308.82**	**₱ 26,337,100.53**	**₱ 27,230,305.68**	**₱ 28,153,927.71**	**₱ 29,109,004.31**
GROSS PROFIT	**₱ 20,835,321.18**	**₱ 21,569,177.20**	**₱ 22,328,738.63**	**₱ 23,114,903.64**	**₱ 23,928,601.72**
ADMINISTRATIVE EXPENSES					
Communications Expense	₱ 27,000.00	₱ 27,810.00	₱ 28,644.30	₱ 29,503.63	₱ 30,388.74
Clothing Expense	₱ 28,600.00	₱ 29,458.00	₱ 30,341.74	₱ 31,251.99	₱ 32,189.55
Commissions	₱ 13,892.54	₱ 14,371.83	₱ 14,867.66	₱ 15,380.60	₱ 15,911.23
Depreciation Expense	₱ 480,000.00	₱ 480,000.00	₱ 480,000.00	₱ 480,000.00	₱ 480,000.00
Food and Non Food Expense- Meetings	₱ 60,201.00	₱ 62,007.03	₱ 63,867.24	₱ 65,783.26	₱ 67,756.76
Freight Out	₱ 143,556.23	₱ 148,508.92	₱ 153,632.48	₱ 158,932.80	₱ 164,415.98
Gasoline, Oil and Lubricants	₱ 463,084.60	₱ 479,061.02	₱ 495,588.62	₱ 512,686.43	₱ 530,374.11
Insurance	₱ 125,032.84	₱ 128,783.83	₱ 132,647.34	₱ 136,626.76	₱ 140,725.56
Indemnities	₱ 0.00	₱ 0.00	₱ 0.00	₱ 0.00	₱ 0.00
Miscellaneous Expense	₱ 32,415.92	₱ 33,388.40	₱ 34,390.05	₱ 35,421.75	₱ 36,484.40
Office Supplies Expenses	₱ 92,616.92	₱ 95,395.43	₱ 98,257.29	₱ 101,205.01	₱ 104,241.16
Other Bon. & Allow. - 13th &14th Month Alloc.	₱ 937,630.00	₱ 965,758.90	₱ 994,731.67	₱ 1,024,573.62	₱ 1,055,310.83
SSS/GSIS,HDMF, PhilHealth	₱ 931,504.50	₱ 959,449.64	₱ 988,233.12	₱ 1,017,880.12	₱ 1,048,416.52
Professional Fees	₱ 100,000.00	₱ 103,000.00	₱ 106,090.00	₱ 109,272.70	₱ 112,550.88
Repairs & Maintenance Expenses	₱ 824,290.59	₱ 852,728.62	₱ 882,147.75	₱ 912,581.85	₱ 944,065.92
Trainings and Seminars	₱ 100,000.00	₱ 103,000.00	₱ 106,090.00	₱ 109,272.70	₱ 112,550.88
Salaries Expense	₱ 3,325,159.38	₱ 3,424,914.16	₱ 3,527,661.59	₱ 3,633,491.43	₱ 3,742,496.18
Taxes, Duties & Licenses	₱ 55,570.15	₱ 57,237.25	₱ 58,954.37	₱ 60,723.00	₱ 62,544.69
Travel Expense	₱ 55,570.15	₱ 57,237.25	₱ 58,954.37	₱ 60,723.00	₱ 62,544.69
Water	₱ 46,308.46	₱ 47,906.10	₱ 49,558.86	₱ 51,268.64	₱ 53,037.41
Total Administrative Expenses	**₱ 7,842,433.28**	**₱ 8,070,016.37**	**₱ 8,304,658.46**	**₱ 8,546,579.29**	**₱ 8,796,005.50**
NET OPERATING INCOME	**₱ 12,992,887.90**	**₱ 13,499,160.83**	**₱ 14,024,080.17**	**₱ 14,568,324.35**	**₱ 15,132,596.22**
OTHER INCOME	₱ 10,849.54	₱ 11,175.03	₱ 11,510.28	₱ 11,855.59	₱ 12,211.25
NET SURPLUS (LOSS)	**₱ 13,003,737.44**	**₱ 13,510,335.86**	**₱ 14,035,590.45**	**₱ 14,580,179.93**	**₱ 15,144,807.47**

Financial Analyses					
	2027	2028	2029	2030	2031
Total Revenue	₱ 46,308,630.00	₱ 47,906,277.74	₱ 49,559,044.32	₱ 51,268,831.35	₱ 53,037,606.03
Total Variable Cost	17,593,261.08	18,193,560.81	18,814,434.60	19,456,588.45	20,120,752.60
Total Fixed Costs	15,722,481.02	16,213,556.10	16,720,529.54	17,243,918.55	17,784,257.20
Operating Income /EBIT	12,992,887.90	13,499,160.83	14,024,080.17	14,568,324.35	15,132,596.22
EBITDA	13,472,887.90	13,979,160.83	14,504,080.17	15,048,324.35	15,612,596.22
EBITDA rate	29%	29%	29%	29%	29%
Variable Rate	38%	38%	38%	38%	38%
Cont Margin ratio	62%	62%	62%	62%	62%
Breakeven Sales	25,355,291.73	26,141,369.82	26,952,804.81	27,790,418.76	28,655,060.52
Cash Income	13,483,737.44	13,990,335.86	14,515,590.45	15,060,179.93	15,624,807.47
Payback	1 year and 2 months				
Average Operating Income	14,043,409.89				
ROI	94%				
Revenue Growth Factor over 4 growth periods	1.145307171				
Revenue Growth rate	3.45%				

The following are notable highlights in the Financial Analyses:

1) EBITDA is positive which constitutes 29% of the Total revenue over a period of five years
2) The Contribution Margin ratio is 62% which means that it can cover the annual Fixed Costs of Operations.
3) Breakeven Sales is at 25 Million pesos representing Sales that must be earned to make positive profits
4)Return on Investment is a high of 94%.
5) Revenue grows at an annual rate of 3.45%

Rice Subsidy @ 20% of Projected income

	2027	2028	2029	2030	2031
NET OPERATING INCOME	₱ 12,992,887.90	₱ 13,499,160.83	₱ 14,024,080.17	₱ 14,568,324.35	₱ 15,132,596.22
OTHER INCOME	₱ 10,849.54	₱ 11,175.03	₱ 11,510.28	₱ 11,855.59	₱ 12,211.25
NET SURPLUS (LOSS)	₱ 13,003,737.44	₱ 13,510,335.86	₱ 14,035,590.45	₱ 14,580,179.93	₱ 15,144,807.47
20% of Income for Rice Subsidy	**2,600,747.49**	**2,702,067.17**	**2,807,118.09**	**2,916,035.99**	**3,028,961.49**
Computation of Number of Kilos and Sacks of Rice sold at PhP20.00					
20% of Income for Rice Subsidy to be deducted from revenue	**2,600,747.49**	**2,702,067.17**	**2,807,118.09**	**2,916,035.99**	**3,028,961.49**
Price Difference (PhP 51- PhP 20)	31	31.93	32.89	33.87	34.89
Number of kilos Sudsidized @ 20.00	**83,895.08**	**84,624.72**	**85,354.13**	**86,083.42**	**86,812.68**
Number of kilos per sack	25	25	25	25	25
Number of sacks sold at P20.00 per kilo	**3,355.80**	**3,384.99**	**3,414.17**	**3,443.34**	**3,472.51**

Rice Subsidy @ 30% of Projected Income

	2027	2028	2029	2030	2031
NET OPERATING INCOME	₱ 12,992,887.90	₱ 13,499,160.83	₱ 14,024,080.17	₱ 14,568,324.35	₱ 15,132,596.22
OTHER INCOME	₱ 10,849.54	₱ 11,175.03	₱ 11,510.28	₱ 11,855.59	₱ 12,211.25
NET SURPLUS (LOSS)	₱ 13,003,737.44	₱ 13,510,335.86	₱ 14,035,590.45	₱ 14,580,179.93	₱ 15,144,807.47
30% of Income for Rice Subsidy	**3,901,121.23**	**4,053,100.76**	**4,210,677.14**	**4,374,053.98**	**4,543,442.24**
Computation of Number of Kilos and Sacks of Rice sold at PhP20.00					
30% of Income for Rice Subsidy to be deducted from revenue	**3,901,121.23**	**4,053,100.76**	**4,210,677.14**	**4,374,053.98**	**4,543,442.24**
Price Difference (PhP 51- PhP 20)	31	31.93	32.89	33.87	34.89
Number of kilos Sudsidized @ 20.00	**125,842.62**	**126,937.07**	**128,031.19**	**129,125.13**	**130,219.02**
Number of kilos per sack	25	25	25	25	25
Number of sacks sold at P20.00 per kilo	**5,033.70**	**5,077.48**	**5,121.25**	**5,165.01**	**5,208.76**

Analysis

Market and Strategic Position. The IRPC operates within a region characterized by substantial rice production, high per-capita consumption, and continuing demand for post-harvest services. Western Visayas' position as a major rice-producing region, together with the IRPC's established network of farmers, cooperatives, retailers, wholesalers, and institutional buyers, provides a credible market base. Although other milling providers operate in the region, the IRPC can differentiate itself through an integrated service platform that combines drying, milling, storage, hauling, rice trading, and by-product recovery under provincial oversight.

Operational and Financial Viability. The proposed hybrid revenue model balances fee-based services with commercial rice trading and ancillary income. Fee-for-service operations provide recurring cash flow, while rice trading and by-product sales create additional earning capacity. At normal capacity, projected first-year revenue of ₱46.31 million, a net operating surplus of ₱13.00 million, and a 28.08% net margin indicate strong potential viability. The projected 3.45% annual revenue growth from 2027 to 2031 further supports long-term sustainability, provided that utilization targets, procurement volumes, service demand, and cost assumptions are achieved.

Public Value and Development Impact. Provincial operation of the IRPC can convert commercial performance into measurable public benefits. Affordable post-harvest services can reduce losses, improve milling recovery, and help farmers retain a greater share of the value of their harvests. Reliable rice supply and the allocation of earnings to the subsidized rice program can improve food access for eligible beneficiaries. The enterprise can also generate employment, support cooperatives and small businesses, strengthen local supply chains, and retain more economic activity within Iloilo. Its value should therefore be assessed through both financial results and public-service outcomes.

Key Risks and Management Requirements. The projections remain sensitive to palay prices, energy costs, plant utilization, equipment reliability, working-capital turnover, market competition, and the ability to collect revenues efficiently. Public ownership also requires clear decision rights, transparent procurement, disciplined cash management, regular maintenance, and timely internal and government audits. The proposed ₱15 million capitalization should therefore be accompanied by measurable targets for throughput, service affordability, farmer reach, operating margins, rice availability, employment, and subsidy beneficiaries. Regular performance reviews will be essential to determine whether the IRPC is simultaneously meeting its commercial, social, and governance objectives.

Summary

This business plan proposes the Iloilo Rice Processing Complex (IRPC) as a viable Local Economic Enterprise operated by the Iloilo Provincial Government to deliver direct and lasting benefits to the public. Through government-managed drying, milling, storage, hauling, and rice-trading services, the IRPC can improve access to quality and reasonably priced rice, reduce post-harvest losses, and provide farmers and cooperatives with reliable, affordable services. Provincial oversight will also enable the enterprise to align its operations with food-security objectives, public-service priorities, and the needs of communities across Iloilo.

The proposed operating model combines fee-based custom drying and milling, commercial rice trading, by-product sales, and ancillary logistics services. With ₱15 million in proposed working capital and operations at normal capacity, the IRPC is projected to generate first-year revenue of ₱46.31 million, a net operating surplus of ₱13.00 million, and a net margin of 28.08%, with revenue forecast to grow by 3.45% annually from 2027 to 2031. These earnings can reduce reliance on continuing government subsidy, finance improvements in service quality and capacity, and support the Provincial Government's subsidized rice program for eligible beneficiaries. Reinvestment in the enterprise can further expand farmer access, strengthen local supply chains, create employment, and keep more economic value within the province.

Establishing the IRPC as a provincially operated Local Economic Enterprise therefore offers benefits beyond financial sustainability. It can strengthen food security, protect farmer incomes, improve the availability and affordability of rice, generate local employment, support cooperatives and small businesses, and enhance the Provincial Government's capacity to deliver responsive public services. These outcomes will depend on adequate capitalization, a clearly defined governance and organizational framework, prudent financial management, reliable plant operations, sustained market development, transparent performance monitoring, and consistent compliance with internal and government audit requirements.

Conclusion and Recommendations

The forgoing business plan confirms that operating the IRPC as a Local Economic Enterprise of the Iloilo Provincial Government is operationally feasible, commercially viable, and capable of delivering sustained public value. Beyond generating an operating surplus, the enhanced model can strengthen food security, improve access to quality and reasonably priced rice, reduce post-harvest losses, protect farmer incomes, support cooperatives and small businesses, create local employment, and expand the Provincial Government's capacity to provide responsive public services. To achieve these outcomes, the following actions are recommended:

1. **Ensure adequate capitalization for reliable public service.** Approve the proposed capital infusion to expand rice procurement, improve facility utilization, stabilize operations, and sustain the delivery of affordable drying, milling, storage, hauling, and rice-distribution services.
2. **Establish accountable provincial governance and management.** Clearly define roles, staffing requirements, decision-making authority, service standards, and performance accountability to ensure efficient, transparent, and uninterrupted operations aligned with provincial food-security and public-service priorities.
3. **Prioritize farmer, cooperative, and consumer access.** Strengthen partnerships with farmers, cooperatives, wholesalers, retailers, and institutional buyers; maintain fair and affordable service charges; and promote reliable access to quality rice and integrated post-harvest services across Iloilo.
4. **Direct earnings toward sustainability and public benefit.** Implement disciplined budgeting, cash management, cost monitoring, and revenue collection, and adopt clear reinvestment and cross-subsidy policies to improve service quality and capacity, support the Provincial Government's subsidized rice program, and reduce dependence on continuing subsidy.
5. **Institutionalize transparent oversight and public-value monitoring.** Conduct regular internal and government audits and periodic operational, financial, and social-impact reviews. Monitor service affordability, farmer reach, rice availability, employment generation, and beneficiary support alongside financial performance.
6. **Adopt and resource the business plan beginning in 2027.** Secure the required budget and establish measurable operational, financial, and public-benefit targets. Review performance regularly to maintain financial sustainability, protect public resources, and keep the enterprise aligned with provincial priorities for food security, farmer welfare, employment, and inclusive local economic development.